



Mark Scheme (Results)

Summer 2026

Pearson Edexcel International Advanced Level in Accounting
WAC11/01A

Unit 1: The Accounting System and Costing

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General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the candidate's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Examiner notes for the paper overall

Please **place ticks** where you are giving credit.

Accept reasonable rounding unless instructed otherwise.

Accept GAAP terminology.

Ignore alien entries unless instructed otherwise.

Do not award marks where the label is an absolute abbreviation such as COS for cost of sales. To balance a T account, the minimum label is bal. or b/c

Where the Requirement is "calculate", it could be a string of numbers or no workings at all: the correct answer gets full marks.

For the evaluations: accept any other valid point.

Please scroll up for general guidance

1 (a) A01:(9) A02(9):A03(4)

A01: Nine marks for recording given balances

A02: Nine marks for adjusting expenses

A03: Four marks for calculating account balance through multi stages

Solar-lec

**Statement of Profit or Loss and Other Comprehensive Income
for the year ended 30 April 2026**

	£	£
Revenue		680 000 (1) A01
Less		
Opening inventory	28 000	
Purchases of materials	310 000	
Carriage inwards	25 500 (1) A01	
Use of materials for own premises	<u>(5 000) (1)A02</u>	
	358 500	
Less Closing inventory	<u>(31 500)</u>	
Cost of sales		(327 000) (2/1of) A03/2+w
Gross profit		353 000
Other income		
Discount received	9 800 (1) A01	
Reduction in allowance for irrec'able debts	<u>1 560 (1)A03</u>	
		11 360
		364 360
Less expenses		
Bank loan interest (2 400 + 800)	3 200 (1) A02	
Gas and electricity (11 250 - 400 + 750)	11 600 (1) A03	
Insurance	7 200 (1) A01	
Irrecoverable debts (14 100 + 3 900)	18 000 (1) A02	
Management salaries	56 000 (1) A01	
Marketing costs (26 800 - 5 700)	21 100 (1) A02	
Motor vehicle running expenses	30 900 (1) A01	
Repairs to premises	9 600 (1) A01	
Sundry expenses	16 300 (1) A01	
Wages (107 600- 3 000)	104 600 (1) A02	
Depreciation		
Premises	1 600 (1) A03	
Motor vehicles	4 800 (1) A02	
Fixtures and fittings	1 600 (1) A02	
Provisions for repair work	<u>25 000 (1)A02</u>	
		(311 500)
Profit for the year		<u>52 860 (1of)A01</u>

Alternative: Purchases of materials £310 000 less Discount received £9 800 = £300 200 resulting in Cost of sales £317 200 (1)**A03**

(22)

Examiner notes

Allow £305,000 Purchases (1) A02.

No aliens for the Cost of Sales OF mark (correct figure gets 2).

No mark for £5,000 (use of materials for own premises) if listed as an expense.

1 (b) A01:(7) A02(12):A03(2)

A01: Seven marks for recording given balances

A02: Twelve marks for calculating the balance and correct inclusion

A03: Two marks for calculating trade receivables and closing capital

**Statement of Financial Position
at 30 April 2026**

Non-current Assets			
	Cost	Accumulated depreciation	Carrying value
	£	£	£
Premises	80 000 (1)A02	(19 600)	60 400 (1of)A02
Motor vehicles	40 000	(20 800)	19 200 (1)A02
Fixtures and fittings	16 000	(6 600)	9 400 (1)A02
	<u>136 000</u>	<u>(47 000)</u>	<u>89 000 (1of)A01</u>
Current Assets			
Inventory		31 500 (1)A01	
Trade receivables	51 900		
Less Irrecoverable debt	(3 900)		
	<u>48 000 (1)A02</u>		
Less Allowance	<u>(1 440)</u>		
		46 560 (1)A03	
Other receivables		6 100 (2)A02	
400 [1] + 5 700 [1]			
Cash and bank		<u>28 750 (1)A01</u>	
			<u>112 910</u>
Total Assets			<u>201 910</u>
Capital		75 000	
Profit for the year		<u>52 860 of</u>	
		127 860	
Drawings		<u>(25 000) (1)A02</u>	
			102 860 (1of)A03
Non-current Liabilities(1)A01			
8% bank loan		30 000 (1)A02	
Provision for repair work		<u>10 000 (1)A02</u>	
			40 000
Current Liabilities			
Trade payables		32 500 (1)A01	
Other payables		1 550 (2)A01	
800 [1] + 750 [1]			
8% bank loan due		10 000 (1)A02	
Provision for repair work		<u>15 000 (1)A02</u>	
			<u>59 050</u>
Total Capital and Liabilities			<u>201 910</u>

(21)

Examiner notes

No aliens allowed for the drawings or capital marks.

Capital must be opening capital plus profit less drawings.

Non-current liabilities label gets a mark if heading up non-current liabilities.

(c) AO1 (1), AO2 (1), AO3 (5), AO4 (5)

Points in favour of changing supplier

The panels are cheaper from the new supplier increasing profit.

The supplier is local so supply may take less time to arrive.

Because of the local nature the risk of delays due to factors such as transport strikes is reduced.

Exchange rate changes will not affect the price of the panels.

Purchasing from a local supplier will increase employment opportunities in the locality.

Solar-lec has needed to create a provision due to quality issues.

Points against changing supplier

Solar-lec has traded successfully with the overseas supplier for five years and has built up a relationship of trust.

The overseas supplier has made panels for many years but the new local supplier has no 'track record' of making this product.

Uncertainty about the new quality of the panels and whether they will be a technically efficient.

The saving in price is only marginal and therefore negotiation with the existing supplier may erode that margin.

Accept any other valid point.

Decision

Candidates may conclude that it is/is not advisable for Solar-lec to purchase the panels from the new supplier.

Level	Mark	Descriptor
	0	A completely incorrect response.
Level 1	1-3	Isolated elements of knowledge and understanding recall based. Weak or no relevant application to the scenario set. Generic assertions may be present.
Level 2	4 - 6	Elements of knowledge and understanding, which are applied to the scenario. Chains of reasoning are present, but may be incomplete or invalid. A generic or superficial assessment is present.
Level 3	7 - 9	Accurate and thorough understanding, supported throughout by relevant application to the scenario. Some analytical perspectives are present, with develop. The decision should be supported by an appropriate rationale. chains of reasoning, showing causes and/or effects. An attempt at an assessment is presented, using financial and non-financial information, in an appropriate format and communicates reasoned explanations
Level 4	10 - 12	Accurate and thorough knowledge and understanding, supported throughout by relevant and effective application to the scenario. A coherent and logical chain of reasoning, showing causes and effects. Assessment is balanced, wide ranging and well contextualised using financial and non-financial information and makes informed recommendations and decisions.

(12)

Q1	Total marks	55
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2 (a) A02(5)

A02: Five marks for calculating percentages and ratio

	Andreas	Christos
(i)	$\frac{£15\,000 \times 6}{100} = 900$	$\frac{£4\,500 \times 6}{100} = 270$
	OR	
	$\frac{£900}{0.06} = 15\,000$ (1)A02	$\frac{270}{0.06} = 4\,500$ (1)A02
(ii)	$\frac{£4\,900}{£70\,000} \times 100 = 7\%$ (2)A02 OR	$\frac{£2\,100}{£30\,000} \times 100 = 7\%$ (2)A02
(iii)	$\frac{£9\,000}{£1\,800} = 5:1$ (1)A02 OR	$\frac{£1\,800}{£9\,000} = 1:5$ (1)A02

(5)

Examiners notes

Accept 7% interest on capital for one partner 2 marks.

Accept share of profits 5/6 A to 1/6 C.

(b)(i) A01:(2) A02(2)

A01: Two marks for opening and closing balances

A02: Two marks for partners withdrawal and introduction

Capital Accounts

Date	Details	Andreas £	Christos £	Date	Details	Andreas £	Christos £
2025				2025			
				1 May	Balance	30 000	50 000
1 Sep	Bank		20 000	1 Sep	Bank	40 000	
2026				2026			
30 Apr	Balance	<u>70 000</u>	<u>30 000</u>				
		<u>70 000</u>	<u>50 000</u>			<u>70 000</u>	<u>50 000</u>
				1 May	Balance	70 000	30 000

Balances 1 May 2025 30 000 and 50 000 Cr (1)A01

Bank 20 000 Dr (1)A02

Bank 40 000 Cr (1)A02

Balances b/d 70 000 and 30 000 Cr (1of)A01

(4)

Examiner notes

Ignore dates.

The label “Bank” is essential as displayed with correct entries.

Balances b/d must be CR balances with no aliens.

(ii) A01:(2) A02(4)

A01: Two marks for recording given balances

A02: Four marks for recording drawings, int on cap and profit share

Current Accounts

		Andreas	Christos			Andreas	Christos
Date	Details	£	£	Date	Details	£	£
2025				2025			
1 Apr	Balance	2 000		1 Apr	Balance		500
2026				2026			
30 Apr	Drawings	15 000	4 500	30 Apr	Int on cap	4 900	2 100
	Int on dr	900	270		Profit share	9 000	1 800
					Balance	4 000	370
		<u>17 900</u>	<u>4 770</u>			<u>17 900</u>	<u>4 770</u>
1 May	Balance	4 000	370				

Balances 1 Oct 2 000Dr and 500 Cr (1)A01

Drawings 15 000 and 4 500 Dr (1of)A02

Interest on drawings 900 and 270 (1)A02

Interest on capital 4 900 and 2 100 Cr (1)A02

Profit share 9 000 and 1 800 Cr (1)A02

Balances b/d 4 000 and 370 Dr (1of)A01

(6)

Examiner notes

Ignore dates

Closing balances b/d can be DR or CR balances and ignore aliens.

(c) A01:(2) A02(1):A03(1)

A01: Two marks for brought down the balance

A02: One mark for recording the bank repayment

A03: One marks for opening balance, correct figure

5% bank Loan Account

Date	Details	£	Date	Details	£
2025			2025		
1 May	Bank (1)A01	10 000	1 May	Balance b/d	50 000
		(1)A02			(1)A03
2026			2026		
30 Apr	Balance c/d	<u>40 000</u>			
		<u>50 000</u>			<u>50 000</u>
			1 May	Balance b/d	40 000
					(1of)A01

(4)

(d) AO1:(2) AO2:(7) AO3(1)

AO1: Three marks for opening and closing balances

AO2: Seven marks for correct entries

Trade Payables Ledger Control Account

Date	Details	£	Date	Details	£
			2025		
			1 April	Balance b/d	18 650 (1)AO1
2025/6			2025/6		
	Purchase returns	3 400 (1)AO2		Purchases	70 900 (1)AO2
	Bank	60 850 (1)AO2		Interest charged	750 (1)AO2
	Discount received	1 800 (1)AO2		Bank (refunds received)	2 100 (1)AO2
	Contra	9 650 (1)AO2			
30 Apr 2026	Balance c/d	16 700			
		<u>92 400</u>			<u>92 400</u>
			1 May 2026	Balance b/d	16 700 (2/1of)AO1

(10)

Examiner notes

Ignore dates and allow some flexibility with narratives as the control account is not part of the double entry system.

No aliens for final balance mark (cash sales is an alien here).

(e) AO1:(3) AO2(1)

AO1: Three marks for recording given balances

AO2: One mark for apportioning expenses to the three departments

	£	£
Other payables		
Wages	400 (1)AO2	
Water	<u>220</u> (1)AO1	
		620 (2/1of)AO1

(4)

Examiner note

No aliens for the final OF mark.

A wrong answer often adds in the alien (electricity £430) and then deducts the £220: this can only score 1 mark if the wages £400 is correct.

(f) A01:(3) A02(5) A03(2)

A01: Three marks for recording calculated given balances and narrative

A02: Five marks for Dr current accounts and split bank loan

A03: Two mark correct current accounts

Andreas and Christos
Statement of Financial Position (extract) at 30 April 2026

	£	£
Capital Accounts		
Andreas	70 000	
Christos	<u>30 000</u>	
		100 000 (2/1of)A02/1
Current Accounts		
Andreas	4 000 Dr	
Christos	<u>370 Dr</u>	
		4 370 Dr (2/1of)A03/2
Non-current liabilities		
5% bank Loan	<u>30 000</u>	
		30 000 (1)A02
Current Liabilities		
Trade payables	16 700 (1of)A01	
Other payables	620 (1of)A01	
5% bank Loan	<u>10 000 (1)A02</u>	
		27 320
Total Capital and Liabilities (1)A01		<u>152 950 (1of)A02</u>

(10)

Examiner notes

Partners must be named but accept A and C.

Current accounts must be labelled DR (unless an OF credit balance from (bii)).

Totals for capital accounts and current accounts need not be shown.

Own figures for trade and other payables must come from (d) and (e).

The capital and current accounts must show figures for A & C to get the total mark for Capital and Liabilities.

Accept "Total Equity and Liabilities" as the final label.

(g) A01 (1), A02 (1), A03 (5), A04 (5)

Positive points about Andreas and Christos using ICT

The use of ICT saves the business time in recording the data into the software.

The entries are accurately recorded and the trial balance will be accurate.

Less storage capacity is required for paperwork.

Less use of paper will help the environment.

There is security through the password being used but this is limited because of its common use.

Negative points about Andreas and Christos using ICT

With everybody using a common password this could become known to other employees.

Confidentiality of information is at risk as so many employees have such open access.

Human error cannot be eliminated (error of original entry).

The software is not being fully utilized as time could be saved if financial statements were prepared by ICT as a matter of routine. These could be made available on a regular basis without extra work.

An information source for management decisions is not being utilized as details e.g about details of expenses, costs and risks are not being accessed.

Security through the password being used, is limited because of its common use. This needs rectifying with all staff using their own passwords.

Access is not limited to individual parts of the accounts, limiting confidentiality.

Are Andreas and Christos getting value for money from the software because of the limitations of use? The software is expensive and requires staff training to use it.

Decision

The candidate may conclude that the partners use of ICT is positive or negative but their conclusion should be supported by an appropriate rationale. (12)

Examiner note

A generic answer about ICT which does not link to the scenario should be given the lowest mark within the appropriate level.

Level	Mark	Descriptor
	0	A completely incorrect response.
Level 1	1-3	Isolated elements of knowledge and understanding recall based. Weak or no relevant application to the scenario set. Generic assertions may be present.
Level 2	4 - 6	Elements of knowledge and understanding, which are applied to the scenario. Chains of reasoning are present, but may be incomplete or invalid. A generic or superficial assessment is present.
Level 3	7 - 9	Accurate and thorough understanding, supported throughout by relevant application to the scenario. Some analytical perspectives are present, with developed chains of reasoning, showing causes and/or effects. An attempt at an assessment is presented, using financial and non-financial information, in an appropriate format and communicates reasoned explanations
Level 4	10 - 12	Accurate and thorough knowledge and understanding, supported throughout by relevant and effective application to the scenario. A coherent and logical chain of reasoning, showing causes and effects. Assessment is balanced, wide ranging and well contextualised using financial and non-financial information and makes informed recommendations and decisions.

Q2	Total marks	55
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3 (a) A01:(3) A02(7)

A01: Three marks for recording correct narrative

A02: Seven marks for recording correct narrative and value

General Journal		
	Dr	Cr
	£	£
Non-current assets	4 000 (1)A02	
Purchases (1)A01		4 000
Suspense	800 (1)A02	
Bank		800 (1)A02
Gambi	700 (1)A02	
Purchase returns (1)A01		700
Suspense (1)A01	6 400	
Revenue/Sales		6 400 (1)A02
Aman	1 080 (1)A02	
Discount allowed		1 080 (1)A02

(10)

Examiner notes

The three marks for account labels are independent of DR/CR entries.

Do not accept any daybook entries or cash/cashbook.

(b) A01:(6) A02(5):A03(3)

A01: Six marks for recording given balances

A02: Five marks for correctly posting entry

A03: Three marks for discount allowed, purchase returns and trade receivables

Assam
Trial balance at 30 April 2026

	Dr	Cr	Mark allocation
	£	£	
Allowance for irrecoverable debts		400	(1)A01
Bank overdraft		2 750	(1)A01+(1)A02
Capital		50 000	
Discount allowed	3 400		(1)A03
Discount received		1 450	
Expenses	23 650		
Inventory 1 May 2025	9 100		
Non-current assets - at cost	40 000		(1)A02
Non-current assets provision for depreciation		15 000	
Purchase returns		3 750	(1)A01+(1)A03
Purchases	38 000		(1)A02
Rent	15 000		
Revenue		90 000	(1)A02
Trade payables		6 650	(1)A01+(1)A02
Trade receivables	9 850		(1)A01+(1)A03
Wages and salaries	31 000		
	<u>170 000</u>	<u>170 000</u>	(1of)A01 Both

6 x A01 entries one mark for recording as a debit or credit as appropriate (or totals OFs).

5 x A02 entries for the correct number recorded in the correct column.

3 x A03 entries for the correct number

(14)

Examiner notes

Do not accept just workings.

The totals must be the same but allow a suspense entry to balance for final mark.

(c) A02 (1), A03 (2), A04 (3)

Positive points for increasing the cash discount to 5%

It may encourage payment to be even prompter.
It will improve cashflow/liquidity.
It could help to reduce irrecoverable debts.
The current bank overdraft may be eliminated by the additional payments.
Bank overdraft charges may be reduced.
It may attract customers from rival suppliers.

Negative points for increasing the cash discount to 5%

There is a reduction in profit as discount allowed will increase expenses.
The increase is relatively small and therefore may not be attractive enough to customers.

Decision

Candidates may conclude that it is/is not, advantageous to increase the discount allowed to 5%.
Candidate's decision should be supported by an appropriate rationale.

(6)

Level	Mark	Descriptor
	0	A completely incorrect response.
Level 1	1-2	Isolated elements of knowledge and understanding which are recall based. Generic assertions may be present. Weak or no relevant application to the scenario set.
Level 2	3-4	Elements of knowledge and understanding, which are applied to the scenario. Some analysis is present, with developed chains of reasoning, showing causes and/or effects applied to the scenario, although these may be incomplete or invalid. An attempt at an evaluation is presented, using financial and perhaps non-financial information, with a decision.
Level 3	5-6	Accurate and thorough knowledge and understanding. Application to the scenario is relevant and effective. A coherent and logical chain of reasoning, showing causes and effects is present. Evaluation is balanced and wide ranging, using financial and perhaps non-financial information and an appropriate decision is made.

Q3	Total marks	30
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4 (a) A01:(2)

A01: Two marks for explaining the term

The business is treated as being **totally separate** (1)**A01** from the **owner** of the business. (1)**A01**

OR

Only transactions relating to the business (1) are recorded in the books of account (1)
(2)

(b) A02(1)

A02: One mark for correctly calculating the capital

(i) Assets £900 + 1 500 + 8 000 + 2 500 = 12 900 - 3 200 = 9 700 (1)**A02**

(1)

(ii) A01:(1) A02(1):A03(1)

A01: One mark for recording given balances

A02: One mark for purchases less returns

A03: One mark for correct number of trainers stolen

(ii) Stolen pairs of trainers

	Pairs		Pairs
Opening inventory	50	Sales	1 700
Purchases	2 000	Trainers stolen	80 (3) A01/2/3
Purchase returns	(150) [1] both		
	1 900		
Closing inventory	(120) [1] A01		
	1 780		1 780

(3)

Examiner note

Lose the final mark if the answer is given as values.

(iii) A02(3)

A02: Three marks for correctly calculating trade payables

Trade payables 30 April 2026

		£
Opening balance		3 200
Credit net purchases	1 850 x £30	55 500 [1] both
		58 700
Less		
Payments		(53 200)
Discount received		(1 400) [1] both
Closing balance		4 100 (3) A02

(3)

(iv) A01:(1) A02(2):A03(1)

A01: One mark for recording given balances of fuel and maintenance

A02: Two marks for correctly posting payments to trade suppliers and deriving final balance

A03: One mark for calculating correct sales banked

Bank Account (summarised)
for the year ending 30 April 2026

		£			£
2025			2025		
1 May	Balance b/d	900			
2025/26	Sales banked	61 000 [1] A03	2025/26	Trade payable	53 200 [1] A02
				Fuel/maint.	5 000 [1] A01
		_____	30 April	Balance c/d	<u>3 700</u> (4)A01/2/3
		<u>61 900</u>			<u>61 900</u>
2026					
1 May	Balance b/d	3 700			

Working: Sales 85 000 – (Rent 4 500 + Wages 10 500 + Sundry 4 000 + Drawings 5 000)
= Sales revenue banked 61000

(4)

Examiner notes

Bank account format is **not necessary** but if used, will need to show £61,000 on the DR side for that mark.

Closing balance £3 700 gets 4 marks (workings not required as “calculate”).

(c) A01:(5) A02(5):A03(1)

A01: Five marks for recording revenue, purchase returns, discount received, wages and sundry expenses

A02: Five marks for correctly posting expenses requiring adjustment

A03: One mark for cost of sales

Cindy
Statement of Profit or Loss and Other Comprehensive Income
for the year ended 30 April 2026

	£	£
Revenue		85 000 (1)A01
Less		
Opening inventory	1 500	
Purchases	60 000	
Purchase returns	(4 500)	
	57 000 (1)A02	
Closing inventory	(3 600)	
Cost of sales		(53 400) (1)A03+w
Gross profit		31 600
Other income		
Discount received		1 400 (1)A01
		33 000
Less		
Motor vehicle fuel and maintenance	4 850 (1)A02	
Depreciation - Motor vehicle	800 (1)A02	
- Fixtures	400 (1)A02	
Rent	4 500 (1)A02	
Wages	10 500 (1)A01	
Sundry expenses	4 000 (1)A01	
		(25 050)
Profit for the year		7 950 (1of)A01

Alternative

Purchases less discount received £60 000 - £1 400 [1]. This changes the subtotal to £55 600 (2)A01/2, reduces Cost of Sales to £52 000 (1)A03 and increases Gross profit to £33 000.

(11)

Examiner notes

Give 2 marks for “dep. 1200”.

The subtotal £57,000 need not be shown.

Accept discount received after expenses if headed “other income”.

Accept “Profit for the year” or “Net profit” but not just “Profit”.

(d) A02 (1), A03 (2), A04 (3)

Points in favour of market trading

Meets customers face to face and builds a relationship/customer loyalty.
Caters for people who do not purchase via the internet.
Cindy may not be able to manage internet sales by herself.
Cindy has no experience / a new venture is risky.
Low returns of goods because customer can inspect and assess the goods.
Customers can try on the trainers for fit before purchasing.
Avoids cost of setting up a website.
Avoids the risk of leaking the confidential information of customers.

Points in favour of on-line sales

Many costs saved such as market stall rent and transport costs.
No risk of theft from market stall.
If paid with order, no risk of bad debts.
Widens geographical customer base.
Can trade 24 hours per day 7 days per week.

Decision

Conclusion: accept either/or but also accept that she could operate on-line **and** continue the market stall.

Their conclusion should be supported by an appropriate rationale.

Examiner notes

If the response is just the advantages and disadvantages of on-line selling, then mark at the bottom of the appropriate level.

Do not accept “no irrecoverable debts” as the market stall sales were for cash.

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	0	A completely incorrect response.
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Level 2	3-4	Elements of knowledge and understanding, which are applied to the scenario. Some analysis is present, with developed chains of reasoning, showing causes and/or effects applied to the scenario, although these may be incomplete or invalid. An attempt at an evaluation is presented, using financial and perhaps non-financial information, with a decision.
Level 3	5-6	Accurate and thorough knowledge and understanding. Application to the scenario is relevant and effective. A coherent and logical chain of reasoning, showing causes and effects is present. Evaluation is balanced and wide ranging, using financial and perhaps non-financial information and an appropriate decision is made.

Q4	Total marks	30
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Q5 (a)(i) AO1:(4)

AO1: Two marks for explaining the term

- (i) A semi fixed cost is a cost that remains **constant for a range of production (1)AO1** after which the cost **increases and then the cost remains constant** for a further range of production (or **stepped cost**). (1)AO1

(2)

- (ii) Departments that **do not make products (1)AO1** but they **support other Departments**. (1)AO1

(2)

(b) AO1:(2) AO2(6)

AO1: Two marks for totals

AO2: Six marks for appropriation

Overheads	Workshop £	Spray shop £	Administration £
Premises costs	16 000 (1)AO2	6 000	2 000
Employment costs	10 000 (1)AO2	6 000	4 000
Equipment depreciation	2 000 (1)AO2	4 000	2 000
Other operating cost	<u>4 000 (1)AO2</u>	<u>2 000</u>	<u>2 000</u>
	32 000	18 000	10 000 (1of)AO1
Administration wages			<u>15 000 (1)AO2</u>
			25 000
Re-apportion	<u>20 000</u>	<u>5 000 (1of)AO2 both</u>	
Total overhead cost	52 000	23 000 (1of)AO1 both	

(8)

Examiner notes

A common answer is £40,000 / £20,000 which gets 7 marks.

No aliens (e.g. direct wages) for final mark.

(c) AO2(2):AO3(2)

AO2: Two marks for correct formula and working

AO3: Two marks for calculating recovery hours

Workshop	$\frac{\text{Overheads}}{\text{Recovery hours}} = \frac{£52\,000}{40 \times 50 \times 70\% \times 5} = \frac{52\,000}{7\,000 (1)AO3} = £7.43 (1of)AO2$
Spray shop	$\frac{\text{Overhead}}{\text{Recovery hours}} = \frac{£23\,000}{40 \times 50 \times 60\% \times 3} = \frac{23\,000}{3\,600 (1)AO3} = £6.39 (1of)AO2$

(4)

Examiner notes

The O.A.R. should not be rounded to whole £ (unless that is a true answer).

Common error answers: Workshop £40,000 gives £5.71 and Sprayshop £20,000 gives £5.56.

(d) AO1(1):AO2(2):AO3(1)

AO1: One mark for total of all three elements

AO2: Two marks for correctly calculating labour, overheads and total containing all elements

AO3: One mark for profit calculation

Quotation for Molly

		£	£
Raw material			160
Labour			
Workshop	10 x £5	50	
Spray shop	4 x £7	28	
			78 (1)AO2
Overheads			
Workshop	10 x £7.43	74.30	
Spray shop	4 x £6.39	25.56	
			99.86 (1of)AO2
Total cost			337.86
Profit			84.46 (1of)AO3
Quotation price			422.32(1of)AO1

(4)

Examiner notes

Accept reasonable roundings.

The profit figure must be a margin not a mark-up on cost.

The final OF mark must include parts, labour, overheads and profit and there must be "Quotation" somewhere.

Common error answers: Overheads: Workshop £57.14 / Sprayshop £22.22
Quotation price: £396.71

(e) AO1:(2) AO2(2)

AO1: Two marks for recording given balance

AO2: Two marks for correctly calculating departmental recovery and total under recovery

	Workshop	Spray shop	Total
Overhead rate	£7.43 of	£6.39 of	
Recovery hours	<u>6 700</u>	<u>3 800</u> (1)AO1 both	
	£49 781 (1of)AO2	£24 282	£74 063
Actual cost			60 000 (1)AO1
Over/(under) recovery			14 063 (1of)AO2+w

(4)

Examiner notes

Own figure marks must come from (c).

The 6,700 and 3,800 hours must be applied correctly for the mark.

Common error answer: Under-absorption £615

(f) AO2 (1), AO3 (2), AO4 (3)

Points in favour of hourly overhead recovery rate

More accurate method as the overhead charge reflects the length of time the job is worked on.
The quotations are fair, based on an estimate of the expense incurred by the job.
A fixed rate would not always recover an appropriate amount of overheads.

Points in favour of fixed £100 charge

It would save time/is easy/convenient/predictable **but not in a remuneration context**.
Apportioning overheads is only an estimate of cost anyway.
Quotations for longer jobs might be cheaper than competitors which could attract more custom.

Decision

Candidates may conclude that either an hourly overhead recovery rate or a fixed charge is preferable. Their conclusion should be supported by an appropriate rationale.

(6)

Examiner note

Do not accept “goes against consistency”.

Level	Mark	Descriptor
	0	A completely incorrect response.
Level 1	1-2	Isolated elements of knowledge and understanding which are recall based. Generic assertions may be present. Weak or no relevant application to the scenario set.
Level 2	3-4	Elements of knowledge and understanding, which are applied to the scenario. Some analysis is present, with developed chains of reasoning, showing causes and/or effects applied to the scenario, although these may be incomplete or invalid. An attempt at an evaluation is presented, using financial and perhaps non-financial information, with a decision.
Level 3	5-6	Accurate and thorough knowledge and understanding. Application to the scenario is relevant and effective. A coherent and logical chain of reasoning, showing causes and effects is present. Evaluation is balanced and wide ranging, using financial and perhaps non-financial information and an appropriate decision is made.

Q5	Total marks	30
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6 (a) A01(4):A02(9):A03(3)

A01: Four marks for recording stated figures

A02: Nine marks for correct calculations

A03: Three marks for two stage calculations

Ratio	Workings	Answer
(i) Value of trade payables	20 000 +45 000 -48 000 =17 000	17 000 (2/1of)A01/2
(ii) Current ratio	$\frac{25\,000 + 12\,000}{17\,000 \text{ of} + 6\,000} = \frac{37\,000}{23\,000} \text{ (1of)A02}$	1.61:1 (1of)A02
(iii) Working capital	Dr 12 000 +25 000 = 37 000 (1)A01 Cr 17 000 of + 6 000 = 23 000	14 000 (1of)A02
(iv) Inventory turnover	$\frac{(16\,000 + 60\,000 - 12\,000)}{(16\,000 + 12\,000) / 2} = \frac{64\,000}{14\,000} \text{ (1)A03}$	4.57 (times) (1)A02
(v) gross profit as a percentage of revenue (sales)	$\frac{16\,000}{80\,000} \text{ (1)A03} \times 100 = 20\%$	20% (1)A02
(vi) value of 10% bank loan	Dr 12 000+47 000+25 000 = 84 000 (1)A01 Cr 6 000+10 000+17 000 of = 33 000	51 000 (1of)A03
(vii) Trade receivables collection period	$\frac{25\,000 \times 365}{80\,000} \text{ (1)A01}$	114.06 days (1)A02
(viii) % return on capital employed	$\frac{(1\,000) + 5\,100 \text{ (1of)A02}}{61\,000 \text{ of}} \times 100 =$	6.72% (1of)A02

(16)

Examiner notes

Accept workings as numerator/denominator.

Accept reasonable roundings.

Times/days are not essential but current ratio must be :1.

(vi) Must include all three CR balances for the OF mark.

(ii),(iii),(vi) and (viii) OF marks are dependent on Trade payables from (i)

(viii) The interest figure must be 10% of (vi) and the answer stated.

(b) A01:(2)

A01: One mark for recording given balances

The system used by business to make certain that it **gives credit only** to **customers who are able to pay** (1)**A01** and that **customers pay on time**. (1)**A01**

Actions taken to **reduce Trade Receivables collection period** (1)**A01** and **irrecoverable debts**(1)**A01**
(2)

(c) A01:(3) A02(3)

A01: Four marks for identifying action

A02: Four marks for explaining positive outcome

	Action identified	Development
1	Take up references from bank or other customers	Potential customers with a poor payment record can be identified before any goods are supplied.
2	Invoice for goods immediately after supply	The liability for payment begins and the customer is aware that payment has started to be chased.
3	Monthly (regular) statements sent.	The customer obtains a regular reminder that the debt is due and requires payment.
4	Regular telephone calls when the debt is a month old.	Constant reminders that the credit period is at an end and the payment needs to be made.
5	Limit/stop/delay further supply of goods until the debt is met.	The customer will not be able to increase the amount owed and must source supplies from another supplier or pay cash.
6	Recovery enforcement	Lawyer's letters and possible court action to recover the debt.

3 x (1)**A01** for action identified + 3 x (1)**A02** for outcome

(6)

Examiner note

Accept "charge interest on overdue accounts"

Do not accept offer cash discount.

Do not accept "stop selling on credit"/ "cash sales only".

(d) A02 (1), A03 (2), A04 (3)

Positive comments about the liquidity

The current ratio of Zara is better than the sector average but this is mainly because of high trade receivables.

The inventory reduced by one third in the year.

Negative points about the liquidity

Inventory turnover is slower than the sector average but this may be due to Zara charging higher prices.

The trade receivables collection period in days is unacceptable/ far worse than the sector average and needs addressing with effective credit control.

Zara has a long-term loan and an overdraft both of which she is paying interest on.

Decision

Candidates may conclude that either the business has good/ or poor liquidity. Their conclusion should be supported by an appropriate rationale.

(6)

Examiner notes

Accept valid comments based on the students' own figures e.g. reference to idle funds: check current ratio in a(ii).

Ignore comments on the Gross Profit ratio as it is not relevant.

If the sector data is used as Zara's, then it should be capped at L1 - maximum 2 marks.

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Level 3	5-6	Accurate and thorough knowledge and understanding. Application to the scenario is relevant and effective. A coherent and logical chain of reasoning, showing causes and effects is present. Evaluation is balanced and wide ranging, using financial and perhaps non-financial information and an appropriate decision is made.

Q6	Total marks	30
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